DISREGARD OF CORPORATE FICTION—

Yet, even in this country, corporations have been convicted for so purely personal crimes as grand larceny and the knowing and intentional deposit of obscene matter in the mails.[7] Under the association theory, the corporation acquires, therefore, an independent collective legal personality.

With this theory must be sharply contrasted the so-called fiction theory which regards the corporation as "*persona ficta*."[8] The German philosopher regards this view as surviving only through inertia. Yet it finds embodiment in nearly all the law books, both in England and America. Perhaps its most classical embodiment is integrated in Chief Justice Marshall's definition in the celebrated case of *Dartmouth College* v. *Woodward*,[9] where he defined a corporation as "an artificial being, invisible, intangible, and existing only in contemplation of law." Doubtless Marshall gleaned the idea either

[7] *United States* v. *New York Herald Co.*, 159 Fed. 296; *United States* v. *MacAndrews & Forbes Co.*, 149 Fed. 823; see, also, cases collected in Canfield & Wormser's Cases on Private Corporations (2d ed.), pp. 22–3, footnote 8; also, Edgerton, "Corporate Criminal Responsibility," 36 Yale Law Journal, 827–44 (April, 1927).

[8] *Procter & Gamble Co.* v. *Newton*, 289 Fed. 1013, 24 Harvard Law Review, 253, 347.

[9] 4 Wheat. 518, 636; see, also, *Bank of the United States* v. *Deveaux*, 5 Cranch 61, 86, *per* Marshall, Ch. J.

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from Lord Coke, who refers to a corporation as "invisible, immortal, and resting only in intendment and consideration of the law," [10] or from Mr. Justice Blackstone, who throughout his work refers to corporations as "artificial persons" or "artificial personalities." [11] Another embodiment of the fiction theory is found in the language of the late Judge Vann of the Court of Appeals of New York, who said: "A corporation, however, is a mere conception of the legislative mind. It exists only on paper through the command of the legislature that its mental conception shall be clothed with power." [12]

A learned law professor in this country has said that while the corporation is a fiction, in so far as the law treats it as a "person" it is "not a fiction in the sense of a supposition contrary to and having no relation to fact." [13] Or, expressed perhaps more simply, he may mean that it is a fiction which is not a fiction,—a thought my mind finds it difficult to follow.

A New York judge has recently suggested that a corporation is neither a reality, a personality, nor a

[10] Case of Sutton's Hospital, 10 Co. Rep. 1, 32.

[11] 1 Bl. Comm. 467–8.

[12] *People* v. *Knapp*, 206 N. Y. 373, 381.

[13] The Scope and Limits of the Corporate Entity Theory, 17 Columbia Law Review, 128, 129.

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fiction, but "that a corporation is more nearly a method than a thing," and is merely "a name for a useful and usual collection of jural relations." [14]

Mr. Justice Oliver Wendell Holmes, undoubtedly the greatest jurist of our times, wrote to me on Dec. 19, 1923, that he regards the conception of corporate personality as a fiction, adding, however, "but as I said when young, on the Massachusetts bench, the very meaning of the fiction is that you are to act as if it was true."

After listening to all this fusillade, most of you will doubtless exclaim, with Warwick in Shakespeare's King Henry VI,

> "But in these nice, sharp quillets of the law,
> Good faith, I am no wiser than a daw."

Where the wise men differ, how can the layman be expected to see the light?

The late John Chipman Gray of Harvard, with the good sense that always characterized his utterances, said in his book on the Nature and Sources of the Law, that he would not undertake to solve the problem whether a corporation is "a real or only a fictitious entity," because "everybody is born either a Nominalist or a Realist." I am not

[14] *Farmers' Loan & Trust Co.* v. *Pierson*, 130 Misc. Rep. 110, 116–7, 222 N. Y. Supp. 532, *per* Bijur, J.

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sure, however, that this is the best way of disposing of the problem, though assuredly it is the easiest one.

It seems to me that a corporation may be correctly defined as a group of one or more persons authorized by sovereign authority to act as a unit and a personality in the eye of the law.[15] I cannot bring myself to believe that a corporation which "can level mountains, fill up valleys, lay down iron tracks and run railway cars on them"[16] is "a mere conception of the legislative mind," or that it is a mere "artificial being invisible, intangible and existing only in contemplation of law," or that it is only an "invisible, intangible essence of air." But neither, on the other hand, can I bring myself to believe that a corporation is a person in the sense that Gierke and Pollock view it, with a personality akin to that of humans. It has always seemed to me that a corporation, in one sense, is a reality, as truly as is an army, a class in a college or any other collective unit. Nobody who has ever heard a college class dismissed would doubt that it is a collective unit. It can be both

[15] Wormser, Law of Private Corporations, 4 (Blackstone Institute, Chicago, Ill., 1914).

[16] *N. Y. Central & Hudson R. R. Co.* v. *U. S.*, 212 U. S. 481; Bishop, New Criminal Law, § 417.

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